

or held Interborough Rapid Transit 5s which were then selling above 95.

Many people cherish the notion that investment in partially developed activities or relatively new undertakings is always more speculative than investment in old and tried and seasoned securities. But this theory does not hold in many cases. As a matter of fact, the old and seasoned security, unless purchased at the proper level and at the proper time (assuming, of course, that it is not merely a short term obligation) often proves to be the poorest thing to buy.

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*More money is probably lost by people who attempt to invest their money conservatively and sanely, but ignorantly, than is lost by those who enter into frank speculations.*

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Men like John D. Rockefeller, Andrew Carnegie, and Henry Ford are constantly mentioned as persons who in their early days were venturesome dreamers and daring speculators in their particular fields. Of course, these men did many speculative things, took chances, and had many narrow escapes from disaster. But the real thing that gave them success, as compared with thousands of others of equal ability, courage and general intelligence, was their special understanding of certain fundamental facts which were in the making in their early days. John D. Rockefeller had imagination enough to recognize the far-reaching possibilities in the development of the petroleum industry. The question as to whether he could currently make money in a small oil-producing concern and compete with many others was not the big idea with him. The secret of his success was his recognition of the revolution which would be wrought in modern society by the newly discovered uses for petroleum. Herein was his investment sense demonstrated.

Andrew Carnegie had imagination enough to foresee the inevitable revolution which would be brought about by the